

Commentary on Chapter 5

Human felicity is produc'd not so much by great Pieces of good Fortune that seldom happen, as by little Advantages that occur every day.

—*Benjamin Franklin*

The Best Defense is a Good Offense

After the stock-market bloodbath of the past few years, why would any defensive investor put a dime into stocks?

First, remember Graham's insistence that how defensive you should be depends less on your tolerance for risk than on your willingness to put time and energy into your portfolio. And if you go about it the right way, investing in stocks is just as easy as parking your money in bonds and cash. (As we'll see in Chapter 9, you can buy a stock-market index fund with no more effort than it takes to get dressed in the morning.)

Amidst the bear market that began in 2000, it's understandable if you feel burned—and if, in turn, that feeling makes you determined never to buy another stock again. As an old Turkish proverb says, "After you burn your mouth on hot milk, you blow on your yogurt." Because the crash of 2000–2002 was so terrible, many investors now view stocks as scaldingly risky; but, paradoxically, the very act of crashing has taken much of the risk